

26RTCV01740 26RTCV01740

County: los-angeles

Division: Civil Law and Motion

Department: E

Hearing date: 2026-08-18

Source URL:

https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=SBA%2CE%2C08%2F18%2F2026

Source SHA-256: f50000deaa5d4bfb9433238c2822b99956592021b82d12ad2e25d7b888605865

Case Number: 26RTCV01740 Hearing Date: August 18, 2026 Dept: E

Superior Court
of California

County of Los
Angeles

Southwest
District

Torrance Dept. E

JOHN
& SHERYL ASSOCIATES (dba DISCOVERY WORLD EARLY EDUCATION CENTER), a
California Corporation,

Plaintiff,

Case No.:

26TRCV01740

vs.

[Tentative]

Granted in part/Denied in part

CYP LLC,
a California limited liability company; MARSHALL & ASSOCIATES, an unincorporated

association; JOHN MARSHALL, an individual; RODGER JENSEN, an individual; and DOES 1 through 20, inclusive,

Defendants.

Hearing

Date: August
18, 2026

Moving Party: Defendants CYP LLC, John Marshall,
and Rodger Jensen

Responding Party: Plaintiffs John and Sheryl Associates

HEARING: Special Motion to Strike [CCP §425.16]

The

Court considered the moving, opposition, and reply papers.

RULING

The Court grants the Special Motion
to Strike as to Defendant Marshall and Jensen.

The

Court denies the Special Motion to Strike as to Defendant CYP.

BACKGROUND

On May 14, 2026, Plaintiffs John and Sheryl Associates filed the Complaint against Defendants CYP LLC, John Marshall, and Rodger Jensen alleging a single cause of action for malicious prosecution.

On July 15, 2026, Defendants filed the Special Motion to Strike.

On August 5, 2026, Plaintiffs filed the Opposition.

On August 11, 2026, Defendants filed
the Reply.

JUDICIAL
NOTICE

The Court may take judicial notice of records
of (1) any court of this state or (2) any court of record of the United States
or of any state of the United States. (Evid. Code § 452 subd. (d).) The Court
may also take judicial notice of “Official acts of the legislative, executive,
and judicial departments of the United States and of any state of the United
States.” (Evid. Code § 452 subd. (c).)

Defendants request that the Court
take judicial notice of the following documents from CYP, LLC v. John &
Sheryl Associates, Inc., Los Angeles Superior Court Case No. 25IWUD00325:
the Complaint filed February 20, 2025, the Court’s Docket, the Reporter’s
Transcript of Proceedings dated January 23, 2026, and the Request for Dismissal
filed January 26, 2026.

Plaintiffs request that the Court
take judicial notice of CYP’s Complaint filed on or about February 19, 2025, in
the action titled CYP, LLC v. John & Sheryl Associates, Inc., Case
No. 25IWUD00325, Defendant’s Special Motion to Strike – Anti-SLAPP –
Declaration of Cynthia Hu”, which was filed by CYP in the action titled John
& Sheryl Associates v. CYP LLC, Case No. 23STCV30527 and the Declaration
of Cynthia Hu in Support of Plaintiff’s Opposition to Defendant’s Special
Motion to Strike”, which was filed by CYP in the UD Action.

The Court grants these requests
pursuant to Evidence Code section 452 subdivision (d).

EVIDENTARY OBJECTIONS

Plaintiff’s Objections to the declaration of Rodger
Jensen

Sustained:

Overruled: 1-5

Plaintiff's Objections to the declaration of Cynthia
Hu

Sustained:

Overruled: 1-16

Plaintiff's Objections to the declaration of John A.
Marshall

Sustained:

Overruled: 1-11

LEGAL STANDARD

The
court engages in a two-step process in determining whether to grant or deny a
Code of Civil Procedure section 425.16 special motion to strike. (Park v.
Board of Trustees of California State University, (2017) 2 Cal.5th 1057,
1061.) First, the court must decide whether the moving party has met the
threshold burden of showing that the plaintiff's cause of action arises from
the moving party's constitutional rights of free speech or petition for redress
of grievances. (See Ibid.) This burden may be met by showing the act
which forms the basis for the plaintiff's cause of action was an act that falls
within one of the four categories of conduct outlined in Code of Civil
Procedure Section 425.16, subdivision (e):

(1)

any written or oral statement or writing made before a legislative, executive,
or judicial proceeding, or any other official proceeding authorized by
law,

(2)

any written or oral statement or writing made in connection with an issue under
consideration or review by a legislative, executive, or judicial body, or any
other official proceeding authorized by law,

(3)

any written or oral statement or writing made in a place open to the public or a public forum in connection with an issue of public interest, or

(4)

any other conduct in furtherance of the exercise of the constitutional right of petition or the constitutional right of free speech in connection with a public issue or an issue of public interest.

If

the defendant meets this initial burden, the burden shifts to the plaintiff to prove the plaintiff has a legally sufficient claim and to prove with admissible evidence a probability of prevailing on the claim. (De Havilland v. FX Networks, LLC, (2018) 21 Cal.App.5th 845, 855.) The trial court considers the pleadings and evidence of both parties. (Ibid.) The plaintiff's proof must be made upon competent admissible evidence. (Sweetwater Union High School Dist. v. Gilbane Building Co. (2019) 6 Cal.5th 931, 940.) The court "does not weigh evidence or resolve conflicting factual claims." (Ibid.) The court's inquiry "is limited to whether the plaintiff has stated a legally sufficient claim and made a prima facie factual showing sufficient to sustain a favorable judgment," accepting the plaintiff's evidence as true. (Ibid.) "The court evaluates the defendant's showing only to determine if it defeats the plaintiff's claim as a matter of law. [Citation.] '[C]laims with the requisite minimal merit may proceed.'" (Ibid.; see Navellier v. Sletten (2002) 29 Cal.4th 82, 89.)

DISCUSSION

Plaintiff Discovery World has operated an early education and childcare center at Promenade PV, an outdoor mall at 550 Deep Valley Drive, Rolling Hills Estates, California, since 2006. Cousins Properties, Inc. owned the Mall when Plaintiff became a tenant. The Mall was later owned by Promenade LLC, which sold it to Defendant CYP in late 2022.

On or about March 24, 2006, Plaintiff entered a written lease with Cousins for an indoor suite, an outdoor playground area, and an indoor playground space. The lease was amended four times. Plaintiff's premises include an outdoor playground that has been in place since approximately 2007.

Plaintiff experienced noise and vibrations

from the Equinox gym located above and adjacent to its premises, and it filed an action for an injunction against Equinox, pending as Case No. 21TRCV00251. In 2024, Defendant notified Plaintiff of the option to relocate it to a different unit within the mall, which Plaintiff declined.

On January 30, 2025, Defendant sent Plaintiff a letter demanding that it cease using the outdoor playground until it provided evidence of permits for the playground's construction and use. On February 12, 2025, Defendant served Plaintiff with a three-day notice to quit that did not include an option to cure. When Plaintiff did not comply, Defendant commenced an unlawful detainer action against it.

The unlawful detainer action was litigated for nearly a year. At a hearing on January 23, 2026, the Court stated its view that the alleged condition appeared curable. Defendant thereafter dismissed the unlawful detainer action without prejudice. Plaintiff filed the present action for malicious prosecution on May 14, 2026.

Prong

One: Protected Activity

"In short, in ruling on an anti-SLAPP motion, courts should consider the elements of the challenged claim and what actions by defendant supply those elements and consequently form the basis for liability." (Park, supra, 2 Cal.5th 1057, 1063.) If a motion is directed to mixed causes of action, a defendant or cross-defendant may identify the allegations of protected activity and how a claim is based on that activity. (Bonni v. St. Joseph Health System, (2021) 11 Cal.5th 995, 1010-1012.)

Here,

it is undisputed that Plaintiffs' action arises out of protected activity, as "Every Court of Appeal that has addressed the question has concluded that malicious prosecution causes of action fall within the purview of the anti-SLAPP statute." (Jarrow Formulas, Inc. v. LaMarche (2003) 31 Cal.4th 728, 735.)

Thus,

the Court finds that the instant action arises out of protected activity,

Prong

Two: Probability of Prevailing

Defendants

have met the burden of demonstrating that Plaintiff's action arises from protected activity. Thus, "the burden shifts to the plaintiff to demonstrate the merit of the claim by establishing a probability of success." (Sweetwater Union High School Dist., supra, 6 Cal.5th 931, 940.) "The Supreme Court has described this second step as a summary-judgment-like procedure. The court does not weigh evidence or resolve conflicting factual claims. Its inquiry is limited to whether the plaintiff has stated a legally sufficient claim and made a prima facie factual showing sufficient to sustain a favorable judgment. It accepts the plaintiff's evidence as true, and evaluates the defendant's showing only to determine if it defeats the plaintiff's claim as a matter of law. Claims with the requisite minimal merit may proceed." (Lee v. Kim (2019) 41 Cal.App.5th 705, 718-719.)

"In order to establish a cause of action for malicious prosecution of either a criminal or civil proceeding, a plaintiff must demonstrate "that the prior action (1) was commenced by or at the direction of the defendant and was pursued to a legal termination in his, plaintiff's, favor; (2) was brought without probable cause; and (3) was initiated with malice." (Van Audenhove v. Perry (2017) 11 Cal.App.5th 915, 919.)

Defendants

contend that Plaintiffs cannot demonstrate a probability of prevailing on their malicious prosecution claim. They emphasize that malicious prosecution is a disfavored action given its chilling effect on the right of access to the courts and that Plaintiff cannot meet the required elements.

On

probable cause, Defendants argue that whether the Underlying Action was legally tenable on the facts known to Defendants is an objective legal question, and that the threshold is minimal, so probable cause exists if any reasonable attorney would have thought the claim tenable and is absent only if every reasonable attorney would agree it was totally and completely without merit. (Parrish v. Latham & Watkins (2017) 3 Cal.5th 767, 776.) Defendants contend they had probable cause because the Lease confirmed the Outdoor Playground was

to be 1,800 square feet, Plaintiff was occupying roughly 4,100 square feet, and the expansion appeared to have been constructed without permits. They argue that a three-day notice to quit was proper because the premises were used for an illegal purpose and the violation was incurable, so the notice was correctly not stated in the alternative. (Code Civ. Proc., § 1161.4.) Defendants further argue the Court's later opinion that the condition was curable does not show the absence of probable cause, that reasonable minds could differ, and that probable cause therefore existed as a matter of law.

On

favorable termination, Defendants argue that Plaintiff must prove the prior proceeding terminated in a manner reflecting the merits and its innocence, and that a voluntary dismissal for technical or procedural reasons is not a favorable termination. (*Casa Herrera, Inc. v. Beydoun* (2004) 32 Cal.4th 336, 341-342.) They contend that Defendants dismissed the underlying actions not because the action lacked merit but because the Court opined the condition was curable, so a notice to cure could be served, and that a post-dismissal site evaluation confirmed the underlying actions' allegations, meaning the dismissal did not reflect Plaintiffs' innocence.

On

malice, Defendants argue that Plaintiffs must prove actual hostility or ill will, or a subjective intent to misuse the legal system, and that negligence does not equate with malice. (*Downey Venture v. LMI Ins. Co.* (1998) 66 Cal.App.4th 478, 498-499.) They contend they filed the Underlying Action only to enforce Defendant's rights, harbored no ill will, and that no contrary evidence exists. Defendants conclude that Discovery World cannot establish any element of malicious prosecution, much less all of them, and that its claim fails.

In

opposition, Plaintiffs argue the motion should be denied because they can show a probability of prevailing on its malicious prosecution claim. On probable cause, Plaintiffs argue the question is whether the Underlying Action was objectively legally tenable, and that a litigant lacks probable cause where it relies on facts it has no reasonable cause to believe or pursues an untenable legal theory. (*Lee, supra*, 41 Cal.App.5th 705, 724.) As to the playground size, Plaintiffs argue Defendants ignored evidence in their possession, including plans approving construction at roughly 4,374 square feet and Lease Exhibits B-2 and B-3 authorizing a footprint between roughly 3,596

and 5,290 square feet, which control over the general recitals reciting 1,800 square feet. (Civ. Code, § 3534.) Plaintiffs further argue the Lease required any measurement dispute to be raised within sixty days of the commencement date, which Defendant took subject to as Cousins' successor, and that any breach claim was time-barred. (*Casiopea Bovet, LLC v. Chiang* (2017) 12 Cal.App.5th 656, 663.) Because Defendants continued the action after their agent admitted the size had not changed, Plaintiffs argue probable cause was absent no later than that deposition. (*Zamos v. Stroud* (2004) 32 Cal.4th 958, 973.)

Plaintiffs

also argue that Defendants knew the playground was permitted, having received the permits and a certificate of occupancy from the City before filing, so the unpermitted-construction theory was untenable. Plaintiffs further argue no reasonable attorney would have served the three-day notice, which failed to comply with the Lease's service provisions and gave no opportunity to cure even though Defendants believed the conditions were curable. (*Culver Center Partners East #1, L.P. v. Baja Fresh Westlake Village, Inc.* (2010) 185 Cal.App.4th 744, 749-750.)

On

favorable termination, Plaintiffs argue a voluntary dismissal is presumed favorable because a party does not abandon an action it believes will succeed, and that Defendants dismissed just two days before Discovery World's summary judgment motion was to be heard. (*Sycamore Ridge Apartments, LLC v. Naumann* (2007) 157 Cal.App.4th 1385, 1399.) Plaintiffs distinguish Defendants' authority as involving a dismissal following reversal of a judgment and note Defendants have filed no new action because no actionable breach exists.

On

malice, Plaintiffs argue the element goes to Defendants' subjective intent, may be shown by ill will or an improper ulterior motive, and may be inferred from the lack of probable cause. (*Soukup v. Law Offices of Herbert Hafif* (2006) 39 Cal.4th 260, 292.) Plaintiffs point to a campaign of harassment, including refusing to approve new playground equipment while approving beneficial HVAC work, demanding relocation hours after that installation, excluding Plaintiffs from mall marketing and events, and serving a series of meritless three-day notices. (*Lee, supra*, 41 Cal.App.5th 705, 727.)

Whether

a party had probable cause to file a lawsuit or continue prosecuting it is a question of law. (Zamos, *supra*, 32 Cal.4th 958, 971.) “The test applied to determine whether a claim is tenable is whether any reasonable attorney would have thought the claim tenable.” (Ibid.) Plaintiff argues that Defendants ignored evidence in their possession, including plans approving construction at roughly 4,374 square feet and Lease Exhibits B-2 and B-3 authorizing a footprint between roughly 3,596 and 5,290 square feet, which control over the general recitals reciting 1,800 square feet. However, Plaintiff acknowledges that the lease itself stated that the playground was to be 1,800 square feet. As to the statute of limitations argument, a reasonable attorney could see the playground size as a continuing breach, which would not be barred by the statute of limitations. Furthermore, while Plaintiff states that exhibits control over a general recital, the Court finds that this is a legal issue over which reasonable minds could differ. As to the 60-day measurement limitation, this bar does not show that no reasonable attorney would find the claim untenable, as the measurement limitation does not bar a suit based on a tenant unilaterally taking space it has not leased. Thus, the Court finds that at the time of the filing a reasonable attorney could find that Defendant’s filing of the underlying action was reasonable.

Plaintiffs

also argue that Defendants continued to prosecute the suit after learning it was baseless. “One who continues a civil proceeding that has properly been begun or one who takes an active part in its continuation for an improper purpose after he has learned that there is no probable cause for the proceeding becomes liable as if he had then initiated the proceeding.” (Zamos, *supra*, 32 Cal.4th 958, 966-967.) Plaintiffs contend that even if Defendants had probable cause at filing, it ended during the litigation, once the Medak and Hu depositions purportedly conceded that the playground size had never changed and that the violation was curable, and Plaintiffs produced plans and permit records showing the playground was authorized and permitted. Here, taking Plaintiffs’ evidence as true, the Court finds that Plaintiff has made a *prima facie* showing of a lack of probable cause to continue prosecuting the Underlying Action. Whatever the tenability of the unpermitted-use theory at the outset, once Defendants were in possession of records showing the play area was permitted, no reasonable attorney could have continued to prosecute an unlawful detainer premised on the theory that the structure was unpermitted and its use therefore illegal.

“To

determine whether there was a favorable termination, we look at the judgment as a whole in the prior action. It is not essential to the maintenance of an action for malicious prosecution that the prior proceeding was favorably terminated following trial on the merits. Rather, in order for the termination of a lawsuit to be considered favorable to the malicious prosecution plaintiff, the termination must reflect the merits of the action and the plaintiff's innocence of the misconduct alleged in the lawsuit." (Casa Herrera, Inc. v. Beydoun (2004) 32 Cal.4th 336, 341-342.)

Here,

Plaintiffs have provided evidence showing that the underlying action was voluntarily dismissed two days prior to an MSJ hearing after the Court expressed the opinion that any alleged breach was curable, which would have led to a favorable decision for Plaintiffs. Thus, the Court finds that Plaintiff has made a prima facie showing of a favorable termination to the underlying action.

"The

'malice' element ... relates to the subjective intent or purpose with which the defendant acted in initiating the prior action. The motive of the defendant must have been something other than that of ... the satisfaction in a civil action of some personal or financial purpose. The plaintiff must plead and prove actual ill will or some improper ulterior motive.

Improper purposes can be established in cases in which, for instance: (1) the person bringing the suit does not believe that the claim may be held valid; (2) the proceeding is initiated primarily because of hostility or ill will; (3) the proceeding is initiated solely for the purpose of depriving the opponent of a beneficial use of property; or (4) the proceeding is initiated for the purpose of forcing a settlement bearing no relation to the merits of the claim." (Daniels v. Robbins (2010) 182 Cal.App.4th 204, 224-225.) "Since parties rarely admit an improper motive, malice is usually proven by circumstantial evidence and inferences drawn from the evidence." (Ibid.)

First,

looking to Defendants Marshall and Jensen, Plaintiffs have provided no evidence that they acted with any actual malice. Thus, the Court finds Plaintiff has not made a prima facie factual showing sufficient to sustain a favorable judgment against Defendants Marshall and Jensen.

Next, looking to Defendant CYP,

Plaintiff has provided evidence showing that Defendant omitted Plaintiffs from its strategic marketing program, refused to include Plaintiffs in mall-wide events, removed Plaintiffs' contact information from the directory, and blocked the drop-off lane designated for Plaintiffs' use. Plaintiff has also shown that Defendant served multiple defective three-day notices to Plaintiff. These actions, taken as true, show a concerted effort to deprive Plaintiff of the use and enjoyment of their lease, culminating in the underlying action. Consequently, the Court finds that Plaintiff has made a prima facie showing of actual malice as to Defendant CYP.

Therefore, the Court grants the Special Motion to Strike as to Defendants Marshall and Jensen and denies the Special Motion to Strike as to Defendant CYP.